

EOC

Many of today's distributors of EOC demonstrated significant skill at accumulating wealth earlier in their lives. They are generally frugal with regard to their own consumption and lifestyle. But some are not nearly as frugal when it comes to providing their children and grandchildren with "acts of kindness." These parents feel compelled, even obligated, to provide economic support for their adult children and their families. What's the result of this largesse? Those parents who provide certain forms of EOC have significantly less wealth than those parents within the same age, income, and occupational cohorts whose adult children are economically independent. *And, in general, the more dollars adult children receive, the fewer they accumulate, while those who are given fewer dollars accumulate more.*

Distributors of EOC often conclude that their adult children could not maintain a middle-or upper-middle-class high-consumption lifestyle without being subsidized. Consequently, an increasing number of families headed by the sons and daughters of the affluent are playing the role of successful members of the high-income-producing upper-middle class. Yet their lifestyle is a facade.

These sons and daughters of the affluent are high-volume consumers of status products and services, from their traditional colonial homes in upscale suburbs to their imported luxury motor vehicles. From their country club affiliations to the private schools they select for their children, they are living proof of one simple rule regarding EOC: It is much easier to spend other people's money than dollars that are self-generated.

EOC is widespread in America. More than 46 percent of the affluent in America give at least \$15,000 worth of EOC annually to their adult children and/or grandchildren. Nearly half the adult children of the affluent who are under thirty-five years of age receive annual cash gifts from their parents. The incidence of giving declines as adult children grow older. About one in five adult children in their mid-forties to mid-fifties receives such gifts. Please note that these estimates are based on surveys of the adult children of the affluent and that gift receivers are likely to understate both the incidence and size of their gifts.